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Study Notes

COMPANIES ACT, 2013 Descriptive Question Notes Part 2

Descriptive Questions and Important Points

Question no. 1. What are the various kinds of share capital of a company. Explain in detail as per Companies Act, 2013?

Ans.

- **Introduction:**
  Every company that is formed with shares must have an initial investment, known as share capital which helps the company function. Companies can divide their share capital into smaller portions, called shares. These shares might have different types and come with various rights. According to Section 2(84) of the Companies Act, 2013 ("Act") "share" means a share in the share capital of a company and includes stock. It is the ownership in the company that a shareholder holds which carries along with it certain rights and responsibilities.
  Under the Act the concept of share capital plays a very important role in determining the ownership structure and financial structure of a company. Share capital is divided into different kinds based on certain attributes and characteristics. As per section 43 of the Act, there are two primary kinds of share capital: Equity Share Capital and Preference Share Capital.

  Equity Share Capital are also known as ordinary shares, which represent ownership in a company and confer certain rights to the shareholders. They are the residual claimants, which means they have the right to the remaining assets of the company after paying off all liabilities. In other words, all share capital which is not preferential share capital are Equity Share Capital. Equity share capital can further be classified into:
  - ✓ **Ordinary Equity Shares**: These are the most common type of shares issued by a company. Ordinary shareholders have voting rights in the company and participate in its management decisions through voting in general meetings. They also have the potential to receive dividends if the company declares them.
  - ✓ **Equity Shares with Differential Voting Rights** (DVRs): Companies are allowed to issue equity shares with differential voting rights, meaning that different classes of equity shares can have varying voting power. This is typically done to give greater control to certain shareholders, such as founders or promoters, while still raising capital from the public.

  Preference shares confer certain preferential rights to their holders, usually in terms of dividend payment and return of capital. Preference shareholders are given preference over equity shareholders in these aspects. Thus, preferential right related to:
  - ✓ **Dividend Payment –** A fixed amount or amount calculated at a fixed rate.
  - ✓ **Repayment –** In case of a winding up or repayment of the amount of paid-up share capital, there is a preferential right to payment.

According to section 55 of the Act, a company limited by shares cannot issue any preference shares which are irredeemable. However, a company limited by shares may, if so, authorized by its Articles of Association, issue preference shares which are liable to be redeemed within a period not exceeding twenty years from the date of their issue.

Thus, knowing the various types of share capital is important for investors, shareholders, and companies to make informed decisions about investment, ownership, and running the business. The Act lays down the various rules to issue and manage these types of shares, ensuring a fair and clear corporate setup.

NOTE: Answer can be elaborated by adding more points. Please refer to the Notes for more details.

Suggestive Questions:

Q. Provide a detailed explanation of the various kinds of share capital as outlined under the Companies Act, 2013.

Q. Detail the various classifications of share capital available to companies as per the guidelines of the Companies Act, 2013.

Question no. 2. What is meant by quorum as per Companies Act, 2013? Explain.

Ans.

- **Introduction:**

  In accordance with the Companies Act, 2013, **quorum signifies the minimum number of members or shareholders essential to be present during a meeting for the meeting's proceedings and decisions to be legally valid**. This prerequisite is pivotal to guarantee that decisions formulated during meetings genuinely reflect the organization's interests. Quorum **serves as a protective measure against decisions being influenced by an insufficient number of attendees,** which might result in unfaithful outcomes.

  The Act requires that a company established under the Act has to hold **General meetings as well as Board meetings** as per the provisions contained in the Act. To ensure that the companies follow this regulation and that such meetings are held properly, it requires a quorum to be met for it to be deemed as a valid meeting. Thus, quorum in other words means the **minimum number of members that have to be present in a meeting**. The Act, and the Articles of Association of a company basically outlines the quorum requirements for different types of meetings.

  Section 103 of the Act states the quorum required for a General Meeting. So, unless the Articles of Association of the company provides for a larger quorum, the minimum quorum must be:

- ✓ In case of **public companies**:

No. of members	Quorum
Not more than 1000	*5 members personally present*
More than 1000 and up to 5000	*15 members personally present*
More than 5000	*30 members personally present*

- ✓ In case of **private companies**:

2 members personally present, shall be the quorum for a meeting

Further, the Act provides that when the **quorum has not been met or if the quorum is not present within half an hour of the time fixed** for the meeting to begin, then:

- ✓ The **meeting will be adjourned**, and it shall be held on the same day and at the same time next week, or any other date and time as the Board may determine.
- ✓ If the meeting is adjourned then the **date, time and place of the meeting will be notified personally or via advertisement**.
- ✓ The advertisement **must be published in both English as well as the vernacular language in a newspaper** which is in circulation at a place where the registered office of the company is situated.

The meeting, **if called by requisitions under Section 100**, shall stand cancelled. If the quorum is not present at the adjourned meeting, then the members present shall be the quorum.

Section 174 of the Act provides the quorum for a Board Meeting. The quorum for a board meeting must be:

- ✓ 1/3rd of the total number of directors or 2 directors whichever is the higher number.
- ✓ If the Number of Interested Directors is 2/3rd or more of total directors than, the other directors not less than 2 shall be the quorum.

Board meeting not held for want of quorum shall **be automatically adjourned t**o the same day same time same place, next week, if same day being a holiday, next working day after holiday be considered.

Thus, quorum ensures that there is a reasonable representation of members at meetings, preventing decisions from being made by an insufficient number of participants. It plays a significant role in upholding the integrity and legitimacy of decision-making processes within a company.

Suggestive Questions:

Q. What role does quorum play in meetings under the framework of the Companies Act, 2013?

Q. Elucidate the concept of quorum according to the Companies Act, 2013?

Q. What is the essence of quorum as per the Companies Act, 2013, and how does it prevent inadequate representation in meetings?

Question no. 3. What is meant by Bonus share as per Companies Act, 2013? Explain.

Ans.

- **Introduction:**

  Bonus shares, as per the Companies Act, 2013 ("Act"), refers to **additional shares** that a company **issues to its existing shareholders without any additional cost**. These shares are distributed to the shareholders in proportion to their current shareholding. In other words, bonus shares are shares given to the existing shareholders in proportion to the number of shares they hold. It is the further issue of shares by a company to its existing shareholders without any receipt of any consideration.

  As per **section 63** of the Act a company **may issue fully paid-up bonus shares to its members out of:**

  - ✓ **Free Reserves** i.e., out of the profit of the company
  - ✓ **Securities premium Account;** or
  - ✓ **Capital Redemption Reserve Account**.

  A company may issue fully paid bonus shares if the following **conditions are met**:

  - ✓ must **be authorized by Articles of Association** of the company;
  - ✓ it has, on the recommendation of the Board, been authorized in the general meeting of the company;
  - ✓ it has not defaulted in payment of interest or principal in respect of fixed deposits or debt securities issued by it;
  - ✓ it has not defaulted in respect of the payment of statutory dues of the employees, such as, contribution to provident fund, gratuity and bonus;
  - ✓ the partly paid-up shares, if any outstanding on the date of allotment, are made fully paid-up;
  - ✓ it complies with such conditions as may be prescribed.

  The bonus shares shall not be issued in lieu of dividend means that a company cannot substitute the distribution of cash dividends to its shareholders with the issuance of bonus shares. This provision is to ensure transparency and fairness in the distribution ofcompany profits. Bonus shares are issued by a company when it aims to:

- ✓ Reward Shareholders
- ✓ Utilize Reserves
- ✓ Enhance Liquidity
- ✓ Signal Positive Performance as it indicates that the company is financially healthy and generating sufficient profits.

Thus, bonus shares under the Act, represent additional shares issued to existing shareholders as a reward for their investment in the company, utilizing accumulated profits or reserves to enhance shareholder value.

Suggestive Questions:

Q. In accordance with the Companies Act, 2013 elucidate the concept of bonus shares and its implications?

Q. How does the Companies Act, 2013, define bonus shares, and what purpose do they serve?

Question no. 4. What is meant by Right issue as per Companies Act, 2013? Explain.

Ans.

- **Introduction:**

  A right issue, as per the Companies Act, 2013 ("Act"), refers to the **process by which a company offers its existing shareholders the opportunity to purchase additional shares**. This issuance of new shares is **made in proportion to the shareholders' existing shareholding**. The **aim of a right issue is to raise additional capital** for the company from its existing shareholders. In a right issue, the company offers its shareholders the **"right" to purchase a specific number of new shares at a predetermined price, known as the issue price**. The shareholders can choose to exercise this right within a specified time frame, often called the subscription period. The **issue price is lesser than market price, making it an attractive investment opportunity** for existing shareholders.

  Some of the important aspects related to the issue of right issue are:

  - ✓ It **grants existing shareholders the pre-emptive right** to subscribe to new shares before they are offered to external investors.
  - ✓ The **number of shares offered** to each shareholder in a right issue is directly proportional to their existing shareholding. This ensures fairness and prevents certain shareholders from gaining undue advantage.

- ✓ The **issue price for the new shares** is usually lower than the prevailing market price thereby, providing an incentive for shareholders to exercise their right to purchase additional shares.
- ✓ The offer shall **be made by notice specifying** the number of shares offered and through a notice to be sent to all the existing shareholders as of the date of offer at least three days before the opening of the issue.
- ✓ The right issue shall **remain open for a period of** seven days but not more than thirty days from the date of the offer within which the offer, if not accepted, shall be deemed to have been declined.
- ✓ **Offer to include right to renounce** in favor of another person i.e., a pre-emptive right.

Thus, a right issue under the Act, enables existing shareholders to purchase additional shares from the company at a discounted price, ensuring proportional ownership and enhancing the company's capital base.

Suggestive Questions:

Q. In accordance with the Companies Act, 2013 elucidate the concept of right issue and its implications?

Q. According to the Companies Act, 2013, what is the essence of right issue of shares and what is its purpose within the corporate structure? Explain

Question no. 5 What is meant by a Resolution as per Companies Act, 2013? Explain the types of resolution.

Ans.

- **Introduction:**

  According to the Companies Act, 2013 ("Act) a resolution refers to a formal decision or proposal that is put forward and approved by the shareholders or the board of directors during a company meeting. Resolutions play a very important role in the decision-making process of a company, as they guide various aspects of its operations, policies, and actions.

  A Company being an artificial person, therefore, any decision taken by the Company shall be in the form of a Resolution and the Act generally specifies the matters in respect of which Resolutions are required to be passed by the members in general meetings or directors in board meeting. The various types of resolution that company can pass are:

  - ✓ Ordinary Resolution: Section 114: It is a type of resolution that requires a simple majority of votes for its approval i.e., more votes are cast in favor of the resolution than against it. These types of resolutions are used for matters that do not have a significant impact on the company's structure or functioning such as:

- Declaration of dividends
- Appointment or removal of directors
- Authorizing the issue of debentures
- Approval of financial statements and reports

✓ **Special Resolution:** It is passed by a special majority i.e., the support of 3/4th of votes casted. They are used for matters that have a more significant impact on the company's structure, constitution, or operations such as:

- Reduction of share capital
- Change of the company's name
- Voluntary winding up of the company
- Conversion of shares into stock or vice versa

Resolutions form thus, an integral part of corporate governance, ensuring that important decisions are made with the consensus of the stakeholders. The classification of resolutions into ordinary and special categories helps determine the level of approval required based on the significance of the matter to be decided.

Question no. 6. What is meant by Debentures as per Companies Act, 2013? Explain.

Ans.

- **Introduction:**

Debentures, as per the Companies Act, 2013 ("Act"), are a type of financial instrument or debt security issued by companies to raise funds from the public. They represent a form of borrowing for the company, where investors who purchase debentures become creditors to the company and are referred to as the debenture holders. In return for their investment, debenture holders receive fixed interest payments at regular intervals and the principal amount back at the end of the specified period.

As per section 2(30) of the Act debenture, includes debenture stock, bonds or any other instrument of a company evidencing a debt, whether constituting a charge on the assets of the company or not. Debentures are the loans taken by a company from investors, with the promise of regular interest payments and repayment of the principal amount upon maturity. Some of the important provisions relating to the debentures as per section 71 of the Act are:

✓ A company may issue debenture with an option to convert such debentures into shares, either wholly or partly at the time of redemption however, it shall be approved by a special resolution passed at a general meeting.

✓ A company shall not issue any debentures carrying any voting rights.

✓ Secured debentures may be issued by a company subject to such terms and conditions as may be prescribed such as:

- An issue of secured debentures may be made, provided the date of its redemption shall not exceed ten years from the date of issue except few classes of companies may issue secured debentures for a period exceeding ten years but not exceeding thirty years such as:
    - Companies engaged in setting up of infrastructure projects;
    - Infrastructure Finance Companies;
    - Infrastructure Debt Fund Non-Banking Financial companies;
    - Companies permitted by a Ministry or Department of the Central Government or by Reserve Bank of India or by the National Housing Bank or by any other statutory authority.

  Such an issue of debentures shall be secured by the creation of a charge on the properties or assets of the company or its subsidiaries or its holding company or its associates companies, having a value which is sufficient for the due repayment of the amount of debentures and interest thereon.

- ✓ Company shall create a debenture redemption reserve account out of the profits of the company available for payment of dividend and the amount credited to such account shall not be utilised by the company except for the redemption of debentures.
- ✓ Debenture trustee to be appointed when debentures issued/offered to more than 500 members.

Debentures are debt securities issued by companies to raise funds from investors, with the promise of fixed interest payments and repayment of the principal amount upon maturity. They are an alternative source of financing for the companies.

Suggestive Questions:

Q. What is the meaning of debentures according to the Companies Act, 2013? Explain in detail.

Q. Explain the concept of "Debentures" as defined by the Companies Act, 2013?

Question no. 7. Explain the concept of Dividend under the Companies Act, 2013? Discuss the various requirements related to dividend and its types.

Ans.

- **Introduction:**

  Dividend is the distribution of profits by a company to its shareholders. It is a reward for shareholders who have invested in the company and is typically paid out of the company's profits. Dividend distribution reflects the company's financial performance and its willingness to share its profits with its shareholders. In other words, a reward a company gives to its shareholders in return for their investment in the company.

Section 2(35) of the Companies Act, 2013 ("Act") defines "dividend" as it includes any 'interim dividend'. As per section 51 of the Act it is given in proportion to the amount paid for each share held by the shareholders if so, authorized by the Articles of Association of the company. All companies except Non-Profit Organizations, i.e., companies registered under Section 8, can declare a dividend. Sections 123 to 127 of the Act deals with the declaration and payment of dividends. A company may declare dividend out of:

- ✓ the profits of the current year of the company;
- ✓ the accumulated and undistributed profits of the previous years of the company; and
- ✓ the amount of money for the purpose of payment of dividend given by the Central or State Governments under a guarantee.

As laid down under the Act some of the conditions according to which the dividend may be declared by the company are:

- ✓ Dividend can be declared by the Board of directors of the company and declaration should be based on the company's financial statements and profits available for distribution.
- ✓ A company cannot pay dividend in any year without charging depreciation, in accordance with the provisions of Schedule II, in the profit and loss account for the current year.
- ✓ Once declared the amount has to be deposited within 5 days in a separate scheduled bank and be paid to shareholders within 30 days from the date of declaration.
- ✓ Dividend shall be paid by a company to the registered shareholder of such share or to his order or to his banker and shall not be payable except in cash and maybe paid by cheque or warrant or in any electronic mode to the shareholder entitled to the payment of the dividend.
- ✓ A company shall not declare or pay dividend out of its reserves, other than free reserves.

As laid down under the Act a dividend can be classified as:

- ✓ **Interim dividend**: The Board of Directors of a company may declare interim Dividend:
  - during any financial year or
  - at any time during the period from closure of financial year till holding of the annual general meeting
  - out of the surplus in the profit and loss account or
  - out of profits of the financial year for which such interim dividend is sought to be declared or
  - out of profits generated in the financial year till the quarter preceding the date of declaration of the interim dividend.

- ✓ **Final dividends**: Dividend declared by shareholders in the annual general meeting based on the recommendation of the board of directors.

Dividend distribution is a very important aspect of corporate finance and governance as it reflects a company's financial health and its commitment to shareholders' interests. The Act lays down specific requirements to ensure fair and transparent dividend distribution, balancing the interests of the company and its shareholders.

Suggestive Questions:

Q. Elaborate on the concept of Dividend as per the Companies Act, 2013? Detail the essential requisites for distributing dividends and explore the different classifications of dividend options.

Q. What does the concept of Dividend entail according to the Companies Act, 2013? Explain the different prerequisites for dividend distribution and explore its various types.

Question no. 8. Write short notes on Unpaid Dividend Account under the Companies Act, 2013?

Ans.

- **Introduction:**

Unpaid Dividend Account is a crucial aspect of corporate finance regulated by the Companies Act, 2013 ("Act"). It serves as a repository for dividends that remain unpaid or unclaimed by shareholders within the stipulated time frame as provided under the Act. The Act provides that the companies should transfer such unclaimed dividends to a separate account known as the Unpaid Dividend Account, in order to safeguard the interests of shareholders and ensure proper governance.

The provisions related to Unpaid Dividend Account is laid down under section 124 of the Act. In case the dividend remains unpaid or unclaimed than:

- ✓ Within 30 days from date of declaration amount to be transferred to Unpaid Dividend Account within 7 days from expiry of 30 days
- ✓ If default in transfer to the said account than 12% interest to be paid by company
- ✓ Within 90 days of transfer, statement to be prepared containing
  - name,
  - last known address and
  - unpaid dividend

to be placed on website of company & other approved website by the CG

- ✓ Amount transferred to unpaid dividend account if remains unclaimed for 7 years than the amount along with relevant shares to be transferred to IEPF –Investors

Education and Protection Fund which is managed by the government and aims to protect the interests of investors.

Unpaid Dividend Account is thus, a mechanism designed to safeguard the interests of shareholders by ensuring that their rightful entitlements are preserved and made accessible to them in the future. The Act provides for this account to promote transparency, accountability, and investor protection in corporate affairs.

Question no. 9. Write short notes on Buy Back of shares under the Companies Act, 2013?

Ans.

- **Introduction:**

  Buyback of shares is a corporate action through which a company repurchases its own shares from its shareholders. The Companies Act, 2013 ("Act") provides the framework for buyback of shares in India, outlining the conditions, procedures, and regulations that companies must adhere to when executing a buyback. Section 68 of the Act states that the company may buy back its own shares, subject to fulfillment of specified conditions as laid down therein. In other words, buy back of shares, or other specified securities means the company may buy back its own shares or other specified securities from the holders.

  As per the provisions of the Act a company may purchase its own shares or other specified securities out of:
  - ✓ its free reserves;
  - ✓ the securities premium account; or
  - ✓ the proceeds of the issue of any shares or other specified securities.

  However, no buy-back of any kind of shares or other specified securities shall be made out of the proceeds of an earlier issue of the same kind of shares or same kind of other specified securities. Some of the conditions for buy back of shares as per the Act are:
  - ✓ Authorized by Articles
  - ✓ Special Resolution passed at general meeting:
    - if buy-back is up to 25% or less of the aggregate of paid-up equity capital & free reserves & securities premium account
  - ✓ Board Resolution be passed:
    - if buy-back is 10% or less of the total paid-up equity capital and free reserves and securities premium account
  - ✓ Ratio of the aggregate of secured and unsecured debts owed by the company after buy-back is not more than twice the paid-up capital and its free reserves
  - ✓ All the shares or other specified securities for buy-back be fully paid-up
  - ✓ No offer of buy back within 1 year of closure of preceding offer of buy back
  - ✓ Buy-Back may be:
    - from the existing shareholders or security holders on a proportionate basis;
    - from the open market;

- by purchasing the securities issued to employees of the company pursuant to a scheme of stock option or sweat equity

✓ Buy Back offer shall remain open for not less than 15 days and not more than 30 days

Further, section 70 of the Act lays down that a company should not buy-back its securities or other specified securities, directly or indirectly:

✓ through any subsidiary company including its own subsidiary companies;

✓ through any investment company or group of investment companies; or

✓ if there is any default in payment of deposits or interest due, redemption of debentures/preference shares or payment of dividend

✓ when Company has defaulted in filing of Annual Return, declaration of dividend & financial statement.

Buyback of shares is a strategy employed by companies to optimize their capital structure and enhance shareholder value. It involves a well-defined procedure, regulatory compliance, and shareholder approval to ensure fairness and transparency. The Act provides clear guidelines to govern the process of buyback, safeguarding the interests of shareholders and maintaining the integrity of the capital markets.

Question no. 10. Discuss the concept of Deposits as per the Companies Act, 2013? Explain in detail the requirements related to acceptance of deposits as per the Act.

Ans.

- **Introduction:**

Deposits are **a way companies generally acquire funding.** The various provisions related to deposits are laid down under section 73 to 76 of the Companies Act, 2013 ("Act"). According to **section 2(31) of the Act deposit includes** any receipt of money by way of deposit or loan or in any other form by a company but does not include such categories of amount as may be prescribed in consultation with the Reserve Bank of India.

Under the Act, a deposit is money received through a deposit, loan, or other methods as described, but **some transactions aren't considered deposits such as any amount**:

✓ Received from the Central Government or a State Government, or any such source where the repayment will be guaranteed by the State or the Centre.

✓ Received from foreign banks or international banks, foreign governments, multilateral financial institutions subject to the provisions of FEMA, 1999.

✓ Received by way of financial assistance or loan from Public Financial Institutions notified by the Central Government or Scheduled Banks or Insurance Companies.

✓ Received as a loan or facility from any banking company or the State Bank of India or any of its subsidiaries.

✓ Received by a company from any other company.

✓ Received against the issue of commercial paper or any other instruments issued in accordance with the RBI guidelines.

- ✓ Received amount that is non-interest bearing in nature or held in trust.
- ✓ Received from a director who provides a declaration stating that the amount is not given out of borrowings or a loan from any person.
- ✓ Raised by way of issue of debentures or bonds secured by a first charge or any other way *etc.*

As per the Act a company shall **not invite, accept or renew deposits from the public, except if it is a:**

- ✓ Banking company
- ✓ Non-Banking Financial Company
- ✓ Companies as the Central Government may, after consultation with the RBI, may specify

Further, a company subject to rules made in consultation with the Reserve Bank of India, **accept deposits from its members by**:

- ✓ Approval -Ordinary Resolution at the General meeting
- ✓ Issuance of a circular to its members- - include financial position, credit rating and existing deposits
- ✓ Filing with the Registrar copy of the circular within 30 days before the date of issue of the circular
- ✓ Deposit 20% of the amount of deposits maturing during the following financial year on or before 30th April in each year in a scheduledbank in a separate bank account to be called Deposit Repayment ReserveAccount and the amount be used only for repayment of deposits. Further, the company shall certify that:
    - it has not committed any default in the repayment of deposits or payment of interest on such deposits
    - default, if any, be made good by the company and a period of 5 years lapsed from the date of making good the default
- ✓ Create a security for the repayment of deposit amount by the creation of charge on the assets of the company. If not secured the company shall state the same in the circular that the deposit is unsecured
- ✓ Registers of deposits shall be maintained and entries should be made within 7 days from the date of issuance of the receipt. The Register shall be preserved for a period of not less than 8 years.
- ✓ Return of deposits to be filed with the Registrar.

NOTE: *Provisions related to acceptance of deposits by certain companies i.e., eligible companies and the term and conditions for acceptance are also important. Refer to the notes for the same.*

Question no. 11. Discuss the concept of charge as provided under the Companies Act, 2013? Explain the types of charges and the related provisions.

Ans.

- **Introduction:**
  The term charge means **a security interest created over the assets of a company to secure repayment of a debt or loan**. According to section 2(16) of the Companies Act, 2013 ("Act"), charge means an interest or lien created on the property or assets of a Company or any of its undertakings or both as security and includes a mortgage.

  The very **objective behind creating a charge is to an assurance by the borrower company to the lender that the money would be paid back**. This assurance by the borrower for borrowing the funds can **be only given through the collaterals** of some assets etc., which are given as security. There are **two kinds of charges** which are created over the assets by the companies they are:
  - ✓ **Fixed charges:** Which are created against specific property which is identifiable and certain and doesn't change over time or through the period of the loan.
  - ✓ **Floating charge:** Which are not created against a specific property that could be identifiable in nature. Generally, the assets over which floating charges are created are uncertain.

  As per the provisions of section 77 of the Act it shall be the **duty of every company** creating a charge within or outside India, on its property or assets or any of its undertakings, whether tangible or otherwise, and situated in or outside India, to **register the particulars of the charge** signed by the company and the charge-holder together with the instruments, if any, creating such charge, **with the Registrar within thirty days of its creation.** Where a charge is registered with the Registrar, he shall **issue a certificate of registration of such charge** to the company and, as the case may be, to the person in whose favour the charge is created.

  Further, section 78 of the Act provides that i**n the event of the company failing to register the charge** within the specified period, the **lender in whose favor the charge is created can apply to register**. The registrar seeks the reasoning for the failure of registration at the earliest and the lender is entitled to recover the amount paid for any ordinary or additional fees and such entity has to give the expenditure incurred by the lender for such registration of charges.

  Under section 79 of the Act, if a **company makes changes to the assets** that have been charged, whether in terms, conditions, or the scope of the property, or even if it acquires new property that becomes subject to the existing charge, **it's obligatory to register this modification within 30 days**. According to Section 80 of the Act, anyone acquiring such property is considered to have knowledge of the existing charge on it.

  As laid down under section 81 of the Act, the **Registrar shall, keep a register containing particulars of the charges registere**d which shall be open to inspection by any person on payment of such fees as may be prescribed for each inspection. Section 82 provides that when the **company repays its loan completely** to the lender thereby **leading to the**

release of the assets, from the charge, provided as security then it is **known as the satisfaction of the charges**. The company is under an obligation to inform the Registrar about the satisfaction of the charges.

Thus, charges play a significant role in securing loans and protecting creditors' interests thereby ensuring that the company honors its financial commitments and offers clarity to potential investors and creditors about the company's financial health.

Suggestive Questions:

Q. What does the term "charge" mean under the Companies Act, 2013? Elaborate on the different categories of charges and the related provisions.

Q. Describe the essence of "charge" in the context of the Companies Act, 2013. Highlight the diverse kinds of charges recognized by the Act and analyze the specific legal provisions pertaining to charge.

Question no. 12. Writes short notes on Independent Director as per the Companies Act, 2013? Explain the related provisions.

Ans.

- **Introduction:**

  By the Companies Act, 2013 ("Act") the provisions related to independent directors were added to the Companies Act. The need was felt to create a balance between the management and the ownership in a company. An independent director is a **non-executive director on a company's Board** who is not affiliated with the company, its management, or any substantial shareholders. The concept of independent directors aims to bring unbiased perspectives, diverse expertise, and a check-and-balance system to a company's decision-making process thereby attaining not only profit maximization but also keeping a check on shareholders' welfare. Thus, they **play a crucial role in enhancing corporate governance, ensuring transparency, and safeguarding the interests of shareholders.**

  An independent director d**oes not have any kind of relationship, whether pecuniary or otherwise, with the company that may affect the independence of his judgmen**t. As per section 149 of the Act an independent director in relation to a company, **means a director other than a managing director or a whole-time director or a nominee director.** Further the section provides that certain companies to appoint an independent director such as:

  - ✓ **Listed Public Company**: At least 1/3rd of the total number of directors as independent directors
  - ✓ **Companies where Central Government may prescribe** minimum number of 2 independent directors:
    - paid up capital of at least 10 crores or

- turn over of at least 100 crores or
- have aggregate outstanding loans/debentures/deposits of more than 50 crores.

With respect to the **tenure of the independent director** the Act lays down that an independent director can be appointed for a term up to 5 consecutive years on the Board of a company. They shall not hold office for more than 2 consecutive terms and shall be eligible for reappointment on:

- ✓ passing of a **special resolution** by the company,
- ✓ **disclosure of such appointment** in the Board's report and
- ✓ **after the expiration of 3 year**s of ceasing to become an independent director.

The independent director may receive **remuneration in the form of a fee** which shall be decided by the Board of directors, and it shall be **in the form of a sitting fee** for attending meetings of the Board or committees. The amount of the said fee shall, however, not exceed Rs. 1 lakh per meeting.

Independent directors serve as a link between the company's management and its stakeholders with their unbiased perspectives, expertise, and commitment to upholding corporate integrity they contribute to better decision-making and overall governance.

Suggestive Questions:

Q. What does the concept of "independent director" mean under the Companies Act, 2013? Elaborate.

Q. Explain who an independent director is in the context of the Companies Act, 2013. Highlight the important provisions related to independent directors under the Act.

Question no. 13. Explain the concept of annual general meeting and extra ordinary general meeting as per the provisions of the Companies Act, 2013?

Ans.

- **Introduction:**

  The annual general meeting ("AGM") and the extra ordinary general meeting ("EGM") are the **shareholders' meeting of a company** which is important for a company's governance, allowing shareholders **to participate in decision-making, express their views, and exercise their rights.** The Companies Act, 2013 ("Act"), lays down provisions governing shareholders' meetings to ensure transparency, accountability, and protection of shareholders' interest.

According to section 96 of the Act the AGM is a **mandatory yearly meeting for all companies**, where shareholders discuss various matters and take decisions. The Act lays down that:

- ✓ the **first AGM** must be held within 9 months from the end of the financial year by all the companies except the OPC
- ✓ **subsequent AGMs** should occur within 6 months from the end of the financial year
- ✓ the **maximum gap** between two AGM's must be of 15 months
- ✓ matters to be discussed include approving financial statements, declaring dividends, appointing auditors, and discussing company affairs
- ✓ such meeting shall **be called at Registered Office** of the Company or any other such place in the city where such Registered Office is situated
- ✓ it should be **held between** 9.00 am – 6:00 pm, and not on any public holiday as so declared by Central or State Government.
- ✓ the **quorum requirement** for conducting AGM:
  - in case of **public company**:
    - 5 if members are less than 1000
    - 15 if between 1000-5000
    - 30 if more than 5000 members
  - in case of **private company**:
    - 2 members personally present

Further, section 100 of the Act lays down provisions related to EGMs. EGMs are **held for urgent matters that cannot wait until the next AGM**. In other words, certain matters are so important that they require an immediate attention of the members. It can be called:

- ✓ by the **Board on suo-moto** basis
- ✓ on the **requisition** of:
  - if the company is having Share Capital, then members holding at least 1/10th of such share capital, and
  - if not having share capital, then members holding at least 10% of the total voting powers in that company

  can request to call for such meeting. Such notice has to be well written and specify the nature of business. Board need to call meeting within 21 days of getting such request or maximum of 45 days, by giving such notice to such members prior to 3 days of conducting the meeting.
  - **by the requisionist in case the Board fails to do so** within the specified period, then the members can call the meeting within 3 months of from the original request made to Board.

EGM shall be **called at the Registered Office** or any such place in the city where such Registered Office is situated. Further, the notice of the meeting shall be given to all the members **in writing or through an electronic mode at least 21 clear days** before convening such meeting.

Thus, shareholders' meetings ensure shareholder participation and protects their rights. The Act emphasizes the importance of conducting meetings in a fair, transparent, and legally compliant manner, fostering good corporate governance.

Suggestive Questions:

Q. Write short notes on AGM as per the Companies Act, 2013.

Q. Write short notes on EGM as per the Companies Act, 2013.

Q. Explain the two important types of shareholders meeting as per the Companies Act, 2013. Highlight the important provisions related to them under the Act.

Question no. 14. Explain the compulsory winding up process as per the provisions of the Companies Act, 2013?

Ans.

- **Introduction:**
  Winding up refers to the process of dissolving a company's operations and liquidating its assets to settle its debts and liabilities. The Companies Act, 2013 ("Act"), outlines the procedures for winding up by the Tribunal. As per section 2(94A) of the Act winding up means winding up under this Act or liquidation under the Insolvency and Bankruptcy Code, 2016, as applicable. It is thus, a process of putting an end to the life of a company.

  A company begins its existence when it gets registered by the Registrar of Companies and obtains a certificate of incorporation. A company's existence ends in two stages: winding up and dissolution. The two main modes of winding up are:

  ✓ **Compulsory Winding Up**: It is a mode wherein the Tribunal orders the closure of a company due to financial or legal issues. It's involuntary and often initiated by creditors, shareholders, or regulatory authorities. Section 270 of the Act deals with winding up by the Tribunal.

  ✓ **Voluntary Winding Up**: It is a mode where the company decides to wind up its operations voluntarily. It can happen when the company achieves its purpose, cannot pay its debts, or when shareholders decide to discontinue it.

  Under the Act, there are various grounds on which a company can be wound up by the Tribunal such as:

  ✓ the company resolves by **special resolution** to be wound up by the Tribunal.
  ✓ the company's actions are against India's **sovereignty, integrity, security, foreign relations, public order, decency, or morality**.

- ✓ if, upon application by the Registrar or authorized person, the Tribunal finds that the company's affairs were **fraudulent, formed for unlawful purposes**, or managed with fraud, misfeasance, or misconduct.
- ✓ the company **defaults in filing** financial statements or annual returns for 5 consecutive financial years.
- ✓ the Tribunal deems **it just and equitable** to wind up the company.

The process of compulsory winding up of a company involves the following stages:

- ✓ **Filing of a petition** by:
    - the company,
    - contributory,
    - Registrar
    - any person authorised by the Central Government in that behalf
    - the Central Government or a State Government.

  before the Tribunal for winding up of company
- ✓ Power of the Tribunal on receipt of petition of the winding up, it may order:
    - Dismissal of petition
    - Interim Order thereon
    - Appoint a provisional liquidator of the company to complete the process of liquidation
    - Order of winding up of the company
    - Any other which Tribunal thinks fit
- ✓ **Statement of affairs to be filled** by the company on winding up
- ✓ **Appointment of company liquidator** by the Tribunal from the panel maintained by the insolvency professionals. Provisional liquidators may also be appointed by the Tribunal till the making of the winding up order
- ✓ **Constitution of the winding up committee** by the company liquidator by making an application to the Tribunal within three weeks of the winding up order
- ✓ **Audited books and accounts to be submitted** to the Tribunal by the directors and officers
- ✓ **Submission of report** by the company liquidator within 60 days from the winding up order relating to the nature and details of the assets, amount of capital, guarantee extended by the company etc.
- ✓ **Settlement of the list of contributories** by the Tribunal for causing the assets of the company to be collected and applied in discharge of its liabilities
- ✓ **Delivery of property to the Company liquidator** by the contributory, banker, agent, officer, or other employee of the company if the possession of any property, books or papers etc.
- ✓ **Power of the Tribunal:**
    - **to make calls** at any time after making a winding up order and either before or after it has ascertained the sufficiency of the assets of the company on all or any of the contributories to the extent if their liability for the payment of any money which the Tribunal considers necessary

- **to adjust the rights of contributories** among themselves and distribute the surplus if any among the persons entitled to
- **to order costs in the event the assets are insufficient to satisfy the liabilities**
- **order public examination** of promoters, directors etc. if the company liquidator had made a report to the Tribunal stating that in his opinion a fraud has been committed by any person in the promotion or formation of the company or by any officer of the company since its formation
- **to arrest absconding persons after the winding up order and on proof of probable cause** to belief that a contributory or a person havingproperty, accounts or papers of the company, in order to evade paymentsof call or to avoid examination in respect of the affairs of the company is about to quit India
- to modify the terms and conditions after confirmation of sale of property

✓ **Liquidation process**: Company Liquidator conducts the liquidation process, including realization of assets, settling the claims of creditors, distributing the remaining assets to shareholders, and complying with other legal requirement

✓ **Dissolution of the company**, when the affairs of the company have been completely wound up, by the company liquidator by making an application to the Tribunal

✓ **Effect of order of liquidation:** the company under liquidation continues to exist as a juristic person until an order dissolving the company is made by the Tribunal.

Thus, winding up is the process through which a company's operations are ended, and its assets are liquidated to discharge its debts and obligations.

Question no. 15. Write short notes on related party transaction as per the provisions of the Companies Act, 2013?

Ans.

- **Introduction:**

  Related party transactions refer to **transactions between a company and its related parties**. **Related parties include**s directors, key managerial personnel, their relatives, and companies under their control, among others. Related party transactions can influence a company's financial performance and decision-making and so to maintain transparency and prevent conflicts of interest, the Companies Act, 2013 ("Act"), imposes certain regulations on such transactions.

  The Act requires companies to disclose related party transactions in their financial statements, along with the nature and value of transactions. This enhances transparency and helps stakeholders understand potential conflicts of interest. Certain related party transactions require prior approval by the Board of directors or Shareholders through special resolution. The transactions between related parties should be conducted at arm's length, meaning they should be comparable to transactions between unrelated parties.

This ensures fair value and prevents preferential treatment. However, certain transactions, like those transactions which are arising from ordinary course of business, are exempted from the stringent approval process.

The various provisions on related party transactions ensure that companies act in the best interests of their shareholders and maintain a fair and transparent business environment. By preventing undue advantages to insiders, these provisions protect the rights of minority shareholders and maintain corporate integrity.

NOTE: *In the answer include the points such as who is a related party as per section 2(76) of the Act, what are related party transactions as per section 188. Further, the compliances as mentioned above like Board approval, Shareholders approval, Exemptions, and the consequences of non-compliance. Please refer to the Notes provided.*

Question no. 16. Write short notes on meeting of the Board and its requirements under Companies Act, 2013?

Ans.

- **Introduction:**

  Meetings of the Board of Directors p**lay a crucial role in the governance and decision-making of a company.** The Companies Act, 2013 (“Act”), provides guidelines and requirements regarding the convening, conducting, and recording of Board meetings to ensure transparency, accountability, and effective management. **Section 173** of the Act lays down various requirements related to Board meetings.

  - ✓ Frequency of Meetings: Minimum number of Board Meetings, manner of participation by Directors
  - ✓ Notice requirement
  - ✓ Quorum
  - ✓ Clear and specific Agenda
  - ✓ Decision
  - ✓ Recording Minutes
  - ✓ Compliance with Law and Regulations: Board meetings should ensure compliance with various legal and regulatory requirements, including matters related to corporate governance, financial reporting, and other relevant law.

  Board meetings are essential for the effective functioning and decision-making of a company. They provide a platform for directors to discuss strategic matters, review financial performance, evaluate risks, and ensure the company's overall well-being. Properly conducted Board meetings contribute to the transparency, integrity, and success of the company.